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Game of Estimation

Forecasts of GDP growth and inflation are risky and prone to major corrections over time

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► **"WE ACTUALLY CAN'T** forecast all that well, and yet we pretend that we can, but we really can't." Famous words by Alan Greenspan, the long-serving former chairman of the US Federal Reserve, who left office in 2006 just before the global financial crisis. Having dealt with the high and lows of forecasts all his life, Greenspan would know.

And so it happened that exactly a year ago, when the economy was still under the cloud of the pandemic, Finance Minister Nirmala Sitharaman (*in picture*) presented the Economic Survey with an optimistic real GDP growth projection of 8-8.5 per cent for 2022-23. Reserve Bank of India (RBI) Gov-

WHAT COULD GO WRONG

- **A below normal monsoon**
- **Elevated inflation and interest rates**
- **Reduced capital flows via FDI, FPO, PE and VCs**
- **Sharper rupee depreciation against the US dollar**
- **Resurfacing of the pandemic**
- **Default or big bankruptcy in global or domestic market**